

application for a loan modification. (FAC at ¶¶ 29-30.) However, “[s]ection 2923.6 does not grant a right to a loan modification. To the contrary, it merely expresses the hope that lenders will offer modifications on certain terms and conspicuously does not require lenders to take any action.” (*Intengan v. BAC Home Loans Servicing LP* (2013) 214 Cal. App. 4th 1047, 1056.) Furthermore, “when a borrower requests a loan modification, a lender owes no tort duty sounding in general negligence principles to “process, review and respond carefully and completely to” the borrower’s application.” (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 948, 505 P.3d 625, 650.) Thus, Plaintiffs do not state a cause of action for breach of Civ. Code § 2923.6(g) or a cause of action for general negligence.

4th Cause of Action for Wrongful Foreclosure - The basic elements of a tort cause of action for wrongful foreclosure track the elements of an equitable cause of action to set aside a foreclosure sale. They are: “(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale [] was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.” (*Lona v. Citibank* (2011) 202 Cal.App.4th 89, 104.) “Justifications for setting aside a trustee’s sale from the reported cases, which satisfy the first element, include the trustee’s or the beneficiary’s failure to comply with the statutory procedural requirements for the notice or conduct of the sale. (*Ibid.*) As Plaintiffs allege that Defendant failed to comply with Civ. Code § 2923.6(c), they have sufficiently alleged the foreclosure was illegal.

Plaintiffs still must allege that they either tendered the amount owed or were excused from tendering. (*Ibid.*) “[A] defaulted borrower who seeks to set aside a trustee’s sale is required to do equity before the court will exercise its equitable powers. ... Consequently, as a condition precedent to an action by the borrower to set aside the trustee’s sale on the ground that the sale is voidable because of irregularities in the sale notice or procedure, the borrower must offer to pay the full amount of the debt for which the property was security. ... The rationale behind the rule is that if [the borrower] could not have redeemed the property had the sale procedures been proper, any irregularities in the sale did not result in damages to the [borrower].” (*Id.* at 112.) There are four exceptions to the tender requirement: (1) the borrower attacks the validity of the underlying debt; (2) the borrower claims a setoff; (3) it is inequitable to impose a tender requirement; and (4) the deed is void on its face. (*Id.* at 112-113.) Here, Plaintiffs do not allege that they made a tender of the amount owed, nor do they allege facts showing an exception applies. Accordingly, they fail to state a cause of action for wrongful foreclosure, and the demurrer should be sustained with leave to amend.

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CASE #	CASE NAME	HEARING NAME
CVME2600159	ARMANI VS SHAKEY’S USA, INC	DEMURRER

Tentative Ruling: Unopposed Demurrer sustained with 20 days leave to amend. Complaint lacks sufficient facts to support the causes of action. Further, the Complaint is uncertain, ambiguous and unintelligible.